



Intermediate Financial Accounting

(Intermediate Financial Accounting)

Financial statements

1. Balance sheet

- The balance sheet in its simplest form is covers the accounting equation (Asset=liabilities + Equity) at a specific point in time ex. Dec. 31 20XX.
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2. Income Statement

- The income statement covers the profit and loss over a period of time such as year 20XX. With the Goal of finding the net income with the equation (Net Income = Revenue+ Gain) - (expenses + losses)

3. Cash Flow Statement

- the statement of cash flows is primarily concerned with the changes in specific assets and liabilities over a period of time. the four areas that the cash flow statement reports on are operating activities (primary source business income), investing activities (Changes in Property, plant and equipment and long term investments), Financing activities (Changes in Equity) and Supplemental information (Changes in significant items that do not involve cash such as exchanges)

Useful Ratios

1. ■ 1. Liquidity Ratios
 - Current
 - Acid test
2. Activity Ratios
 - Turnover tests
3. Profitability Ratios
 - Return on Assets
 - Return on Equity
 - Profit Margin
4. Coverage Ratios

(Example Balance Sheet and Income Statement)

Current assets	Year 2	Year 1
Cash and Cash Equivalents	\$55	\$60
Receivables	\$100	\$85
Inventory	\$75	\$50
Total Current Assets	\$220	\$190
Non current assets		
Property, Plant, and Equipment	\$200	\$200
Investments	\$20	
Intangible Assets: Goodwill and Other	\$5	
Total Assets	\$455	\$395
Liabilities		
Accounts Payable	\$25	15
Notes payable	\$75	\$30
Current Liabilities	\$100	\$45
Long-Term Debt	\$200	\$200
Stockholders Equity		
Common stock	\$145	\$145
Retained earnings	\$10	\$5
Total Liabilities and Equity	\$455	\$395

Income Statement	
Sales	300
Cost of Goods sold	200
Selling, general and administrative	40
Interest expense	10
Total expense	250
Income before income taxes	50
Income tax expense (30%)	15
Net income	35

Liquidity Ratios Liquidity ratios these ratios measure a firms' efficiency and ability to meet obligations to other lenders

Working capital	current assets minus current liabilities
Current ratio	Current assets divided by current liabilities
Acid or quick ratio	Cash plus accounts receivable plus marketable securities divided by current liabilities
Time interest earned ratio	Net income plus interest expense plus income tax expense. Divide by interest expense
Account receivable turnover	Net credit sales divided by average accounts receivable
Number of days in Accounts Receivable	365 divided by Accounts Receivable turnover
Inventory turnover	Cost of goods divided by average inventory
Numbers of days in inventory	365 divided by inventory turnover

Probability and equity ratio's these measure operation results and measure sources of equity

Profit margin	Net income divided by sales
Return on assets	Net income divided by average total assets
Return on equity	Net income divided by average common stockholder equity
Earning per share	Net income minus preferred dividends divided by weighted average common shares
Price to earnings ratio	Stock price per share divided by earnings per share

See also

- [Topic:Accounting](#)
 - [Business_finance#Balance_sheet_structure](#)
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